MIDTERM EXAMINATION

Spring 2010

MGT201- Financial Management (Session - 5)

Time: 60 min

Marks: 44

Question No: 1 (Marks: 1) - Please choose one

Which of the following statements is correct for a sole proprietorship?

►The sole proprietor has limited liability

►The sole proprietor can easily dispose of their ownership position relative to a shareholder in a corporation

►The sole proprietorship can be created more quickly than a corporation

►The owner of a sole proprietorship faces double taxation unlike the partners in a partnership

Question No: 2 (Marks: 1) - Please choose one

Which of the following market refers to the market for relatively long-term financial instruments?

►Secondary market

►Primary market

►Money market

►Capital market

Question No: 3 (Marks: 1) - Please choose one

Felton Farm Supplies, Inc., has an 8 percent return on total assets of Rs.300,000 and a net profit margin of 5 percent. What are its sales?

►750,0Rs.3, 750,000

►Rs.48Rs.480, 000

►Rs.30Rs.300, 000

►Rs.1, Rs.1, 500,000

Question No: 4 (Marks: 1) - Please choose one

An investment proposal should be judged in whether or not it provides:

►A return equal to the return require by the investor

►A return more than required by investor

►A return less than required by investor

►A return equal to or more than required by investor

Question No: 5 (Marks: 1) - Please choose one

A capital budgeting technique through which discount rate equates the present value of the future net cash flows from an investment project with the project's initial cash outflow is known as:

►Payback period

►Internal rate of return

►Net present value

►Profitability index

Question No: 6 (Marks: 1) - Please choose one

A capital budgeting technique that is **NOT** considered as discounted cash flow method is:

►Payback period

►Internal rate of return

►Net present value

►Profitability index

Question No: 7 (Marks: 1) - Please choose one

Why net present value is the most important criteria for selecting the project in capital budgeting?

►Because it has a direct link with the shareholders dividends maximization

►Because it has direct link with shareholders wealth maximization

►Because it helps in quick judgment regarding the investment in real assets

►Because we have a simple formula to calculate the cash flows

Question No: 8 (Marks: 1) - Please choose one

You are selecting a project from a mix of projects, what would be your first selection in descending order to give yourself the best chance to add most to the firm value, when operating under a single-period capital-rationing constraint?

►Profitability index (PI)

▶Net present value (NPV)

▶Internal rate of return (IRR)

▶Payback period (PBP)

Question No: 9 (Marks: 1) - Please choose one

Bond is a type of Direct Claim Security whose value is **NOT** secured by __________.

▶Tangible assets

▶Intangible assets

▶Fixed assets

▶Real assets

Question No: 10 (Marks: 1) - Please choose one

If a 7% coupon bond is trading for Rs. 975 it has a current yield of _________ percent.

▶7.00

▶6.53

▶8.53

▶7.18

Question No: 11 (Marks: 1) - Please choose one

Which of the following is designated by the individual investor's optimal portfolio?

▶The point of tangency with the opportunity set and the capital allocation line

<u>▶The point of highest reward to variability ratio in the opportunity set</u>

▶The point of tangency with the indifference curve and the capital allocation line

▶The point of the highest reward to variability ratio in the indifference curve

Question No: 12 (Marks: 1) - Please choose one

Assume that the expected returns of the portfolios are the same but their standard deviations are given in the options given below, which of the option represent the most risky portfolio according to standard deviation?

▶1.5%

▶2.0%

▶3.0%

<u>▶4.0%</u>

Question No: 13 (Marks: 1) - Please choose one

Which of the following is a drawback of percentage of sales method?

▶It is a rough approximation

▶There is change in fixed asset during the forecasted period

▶Lumpy assets are not taken into account

<u>▶All of the given options</u>

Question No: 14 (Marks: 1) - Please choose one

Which of the following need to be excluded while we calculate the incremental cash flows?

►Depreciation

►Sunk cost

►Opportunity cost

►Non-cash item

Question No: 15 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of a financial intermediary?

►Wisconsin S&L, a savings and loan association

►Strong Capital Appreciation, a mutual fund

►Microsoft Corporation, a software firm

►College Credit, a credit union

Question No: 16 (Marks: 1) - Please choose one

An 8% coupon Treasury note pays interest on May 30 and November 30 and is traded for settlement on August 15. What is the accrued interest on Rs. 100,000 face value of this note?

►Rs. 491.80

►Rs. 800.00

►Rs. 983.61

►Rs. 1,661.20

Question No: 17 (Marks: 1) - Please choose one

A preferred stock will pay a dividend of Rs. 3.50 in the upcoming year, and every year thereafter, i.e., dividends are not expected to grow. You require a return of 11% on this stock. Use the constant growth model to calculate the intrinsic value of this preferred stock.

►Rs. 0.39

►Rs. 0.56

►Rs. 31.82

►Rs. 56.25

Question No: 18 (Marks: 1) - Please choose one

Information that goes into __________ can be used to prepare __________.

►A forecast balance sheet; a forecast income statement

►Forecast financial statements; a cash budget

►Cash budget; forecast financial statements

►A forecast income statement; a cash budget

Question No: 19 (Marks: 1) - Please choose one

What is the present value of Rs.8,000 to be paid at the end of three years if the interest rate is 11% compounded annually?

► Rs.5,850

► Rs.4,872

► Rs.6,725

► Rs.1,842

Question No: 20 (Marks: 1) - Please choose one

“Do not compare apples with oranges” is the concept in:

▶Discounting and Net present value

▶Risk & return

▶Insurance management

▶Time value of money

Question No: 21 (Marks: 1) - Please choose one

Which of the following is NOT the interest rate used for discounting calculation?

▶Benchmark interest rate

▶Effective interest rate

▶Periodic interest rate

▶Nominal interest rate

Question No: 22 (Marks: 1) - Please choose one

Which of the following is the formula to calculate the future value of perpetuity?

▶Constant cash flows × interest rate

▶Constant cash flows / interest rate

▶Constant cash flows + Constant cash flows × interest rate

▶Constant cash flows - Constant cash flows/ interest rate

Question No: 23 (Marks: 1) - Please choose one

Which of the following interest rate keeps on moving and changing on daily basis?

▶Book value

▶Market value

▶Salvage value

▶Face value

Question No: 24 (Marks: 1) - Please choose one

From which of the following formula we can calculate coupon rate?

▶Coupon receipt / market value

▶Coupon receipt / present value

▶Coupon receipt / salvage value

▶Coupon receipt / book value

Question No: 25 (Marks: 1) - Please choose one

Value of "g" in the formula of constant growth rate can be calculated from which of the following formula?

▶g = plowback ratio × ROE

▶g = plowback ratio × ROA

▶g = payout ratio + ROE

▶g = payout ratio + ROA

Question No: 26 (Marks: 1) - Please choose one

In Gordon's formula (r_{CE} = DIV1 / P_o + g), r_{CE} is considered as __________ and "g" is considered as __________.

▶Dividend yield, operating expenses

▶Dividend yield, operating income

▶Dividend yield, capital loss

▶Dividend yield, capital gain

Question No: 27 (Marks: 1) - Please choose one

To calculate the annual rate of return for an investment, we require which of the following(s)?

►The income created

►The gain or loss in value

►The original value at the beginning of the year

►All of the given options

Question No: 28 (Marks: 1) - Please choose one

This is an example of which of the following?

Real estate prices fell across the board because the market was glutted with surplus pre-owned homes for sale.

►Economic risk

►Industry risk

►Company risk

►Market risk

Question No: 29 (Marks: 3)

Briefly explain what call provision is and in which case companies use this option.

Question No: 30 (Marks: 3)

There are two stocks in the portfolio of Mr. N, Stock A and Stock B. the information of this portfolio is as follows:

Common stock	Expected rate of return	Standard deviation
Stock A	15%	10%
Stock B	20%	15%

Calculate the expected rate of return on this portfolio assuming that Stock A consists of 75% of the total funds invested in the stocks and the remainder in Stock B.

Question No: 31 (Marks: 5)

(a) What is correlation of coefficient?

(b) What are efficient portfolios?

Question No: 32 (Marks: 5)

Suppose you approach a bank for getting loan. And the bank offers to lend you Rs.1, 000,000 and you sign a bond paper. The bank asks you to issue a bond in their favor on the following terms required by the bank: Par Value = Rs 1, 000,000, Maturity = 3 years

Coupon Rate = 15% p.a, Security = Machinery

You are required to calculate the cash flow of the bank which you will pay every month as well as the present value of this option.